



# COLLEGE PAYROLL ACCOUNTING (130) —Post-secondary— STATE – 2018

**Multiple Choice** (10 @ 2 points each) \_\_\_\_\_ (20 points)

**Matching** (10 @ 2 points each) \_\_\_\_\_ (20 points)

**Short-Answer Questions:** Calculations \_\_\_\_\_ (46 points)

**Problem Section:**

Problem 1: Payroll Register \_\_\_\_\_ (57 points)

Problem 2: Payroll Register & Journal Entries \_\_\_\_\_ (69 points)

***TOTAL POINTS*** \_\_\_\_\_ (***212 points***)

**Graders: Please double check and verify all scores and answer keys!**

Property of Business Professionals of America.  
May be reproduced only for use in the Business Professionals of America  
*Workplace Skills Assessment Program* competition.



## General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Calculate all calculations to four (4) decimals, then round to the nearest cent.
- 2018 Payroll Tax Rules Apply
- Social Security (OASDI): 6.2% on the first \$128,700
- Medicare (HI): 1.45%
- FUTA: .6% on first \$7,000 of employee wages
- SUTA: Information is in each question
- Overtime paid time and a half unless otherwise noted

**Multiple Choice: (20 points, 2 each)**

1. C
2. C
3. B
4. B
5. C
6. B
7. D
8. A
9. D
10. A

**MATCHING (20 points, 2 each)**

11. E
12. D
13. G
14. I
15. A
16. B
17. F
18. J
19. H
20. C

**SHORT-ANSWER QUESTIONS: (46 points, 2 points each)**

1. (6 POINTS, 2 POINTS EACH) **Note: When using OT Premium Method, all hours are paid at regular first and then the OT hours are at ½ time.**

|                   |                          |
|-------------------|--------------------------|
| Regular Earnings  | \$ 792.19 (42.25 *18.75) |
| Overtime Earnings | \$ 21.11 (2.25*9.38)     |
| Total Earnings    | \$ 813.30                |

2. (12 POINTS, 2 POINTS EACH)

| Monthly    | Semi-monthly | Bi-weekly  | Weekly     | Hourly Rate | Overtime Rate |
|------------|--------------|------------|------------|-------------|---------------|
| \$5,189.58 | \$2,594.79   | \$2,395.19 | \$1,197.60 | \$29.94     | \$44.91       |

**3. (8 POINTS, 2 POINTS EACH)**

|                                                 |           |
|-------------------------------------------------|-----------|
| Taxable Earnings for FUTA for the third payroll | \$ 7,200  |
| FUTA Liability for the third payroll            | \$ 43.20  |
| Taxable Earnings for SUTA for the third payroll | \$ 11,800 |
| SUTA Liability for the third payroll            | \$ 377.60 |

**4. (8 POINTS, 2 POINTS EACH)**

|                             |             |
|-----------------------------|-------------|
| Regular Salary .....        | \$ 1,640    |
| Sales Subject to Bonus..... | \$ 1,575    |
| Bonus Earnings.....         | \$ 51.19    |
| Total Earnings .....        | \$ 1,691.19 |

**5. (2 POINTS, 2 POINTS EACH)**

\$ 770.25     $725/40 = 18.13$  hourly pay,  $18.13 * 10\% = 1.81$  per hour shift differential,  
                    $5 \text{ shifts} * 5 \text{ hours} = 25$ ,  $(725 + (25 * 1.81)) = 770.25$

**6. (10 POINTS, 2 POINTS EACH)**

|                     |               |
|---------------------|---------------|
| Regular Earnings    | \$ \$1,440.40 |
| Regular Hourly Rate | \$ 32.37      |
| Overtime Rate       | \$ 16.19      |
| Overtime Earnings   | \$ 76.90      |
| Total Earnings      | \$ 1,517.30   |

**PROBLEMS:****1. (57 points, 1 each)**

Complete the following Payroll Register for Fantasyland Corporation. All employees are paid by the hour, assume all employees are Single, have 0 withholding allowances, and are paid weekly. **Use the provided withholding tables to find the FIT withholding.**

| Payroll Register |               |            |           |            |                 |               |              |               |                       |               |                 |
|------------------|---------------|------------|-----------|------------|-----------------|---------------|--------------|---------------|-----------------------|---------------|-----------------|
| NAME             | Reg.          | Reg.       | OT        | OT         | Total           |               |              | Deductions    |                       |               | Net Pay         |
|                  | Hours         | Rate       | Hours     | Rate       | Wages           | OASDI         | HI           | FIT           | Pre-tax<br>Group Ins. | 401K          |                 |
| Mickey           | 40            | 13.25      | 1         | 19.88      | 549.88          | 34.09         | 7.97         | 53.00         |                       | 15.00         | 439.82          |
| Minnie           | 34            | 13.50      |           | 20.25      | 459.00          | 28.46         | 6.66         | 42.00         | 15.00                 | 60.00         | 306.88          |
| Donald           | 40            | 11.40      | 4         | 17.10      | 524.40          | 32.51         | 7.60         | 51.00         | 15.00                 |               | 418.29          |
| Daisy            | 38.75         | 11.25      |           | 16.88      | 435.94          | 27.03         | 6.32         | 40.00         | 15.00                 |               | 347.59          |
| Goofy            | 35            | 9.50       |           | 14.25      | 332.50          | 20.62         | 4.82         | 28.00         | 15.00                 | 25.00         | 239.06          |
| Pluto            | 40            | 8.25       | 4.25      | 12.38      | 382.62          | 23.72         | 5.55         | 34.00         | 15.00                 | 25.00         | 279.35          |
| Chip             | 40            | 9.80       | 2.75      | 14.70      | 432.43          | 26.81         | 6.27         | 40.00         | 15.00                 | 15.00         | 329.35          |
| Dale             | 37            | 10.15      |           | 15.23      | 375.55          | 23.28         | 5.45         | 33.00         |                       |               | 313.82          |
| <b>TOTALS</b>    | <b>304.70</b> | <b>XXX</b> | <b>12</b> | <b>XXX</b> | <b>3,492.32</b> | <b>216.52</b> | <b>50.64</b> | <b>321.00</b> | <b>90.00</b>          | <b>140.00</b> | <b>2,674.16</b> |

**2. (69 points, 1 each payroll register; 2 points each on journal entries)**

Complete and total the Payroll Register and journalize the payroll and employer's taxes using the Castle's Payroll Register below. This is the first payroll of the year. **Use the provided withholding tables to find the FIT withholding.**

| Payroll Register |            |            |          |            |                 |               |              |               |                        |              |                 |
|------------------|------------|------------|----------|------------|-----------------|---------------|--------------|---------------|------------------------|--------------|-----------------|
| NAME             | Reg.       | Reg.       | OT       | OT         | Total           |               |              | Deductions    |                        |              | Net Pay         |
|                  | Hours      | Rate       | Hours    | Rate       | Wages           | OASDI         | HI           | FIT           | Post-tax<br>Group Ins. | 401K         |                 |
| Cinderella       | 40         | 10.50      |          | 15.75      | 420.00          | 26.04         | 6.09         | 39.00         | 10.00                  | 20.00        | 318.87          |
| Aurora           | 38         | 12.15      |          | 18.23      | 461.70          | 28.63         | 6.69         | 44.00         | 10.00                  | 60.00        | 312.38          |
| Ariel            | 40         | 11.60      | 5        | 17.40      | 551.00          | 34.16         | 7.99         | 54.00         | 10.00                  | 15.00        | 429.85          |
| Jasmine          | 39         | 10.75      |          | 16.13      | 419.25          | 26.00         | 6.08         | 38.00         | 10.00                  |              | 339.17          |
| <b>TOTALS</b>    | <b>157</b> | <b>XXX</b> | <b>5</b> | <b>XXX</b> | <b>1,851.95</b> | <b>114.83</b> | <b>26.85</b> | <b>175.00</b> | <b>40.00</b>           | <b>95.00</b> | <b>1,400.27</b> |

## COLLEGE PAYROLL ACCOUNTING-STATE 2018

Page 6 of 6

|                     | <b>JOURNAL</b>             |                 | <b>PAGE 1</b>   |
|---------------------|----------------------------|-----------------|-----------------|
| DATE                | ACCOUNT DESCRIPTION        | DEBIT           | CREDIT          |
| <b>Jan 10, 2018</b> | <b>Wages Expense</b>       | <b>1,851.95</b> |                 |
|                     | <b>OASDI Payable</b>       |                 | <b>114.83</b>   |
|                     | <b>HI Payable</b>          |                 | <b>26.85</b>    |
|                     | <b>FIT Payable</b>         |                 | <b>175.00</b>   |
|                     | <b>Insurance Payable</b>   |                 | <b>40.00</b>    |
|                     | <b>401(K) Payable</b>      |                 | <b>95.00</b>    |
|                     | <b>Cash</b>                |                 | <b>1,400.27</b> |
|                     |                            |                 |                 |
| <b>Jan 10, 2018</b> | <b>Payroll Tax Expense</b> | <b>204.64</b>   |                 |
|                     | <b>OASDI Payable</b>       |                 | <b>114.83</b>   |
|                     | <b>HI Payable</b>          |                 | <b>26.85</b>    |
|                     | <b>FUTA Payable</b>        |                 | <b>11.11</b>    |
|                     | <b>SUTA Payable</b>        |                 | <b>51.85</b>    |